of additional bonds. The required ratio of net assets to funded debt varies from 120% (*e.g.*, General American Investors) to 250% (*e.g.*, Niagara Shares Corporation). The more usual figures are 125 or 150%. A similar restriction is placed upon the payment of cash dividends. The ratio required for this purpose varies from 125% (*e.g.*, Domestic and Foreign Investors) to 175% (which must be shown to permit cash dividends on Central States Electric Corporation common). The modal figure is probably 140 or 150%.

But the majority of issues do not require at all times and unconditionally the maintenance of a minimum excess of asset value above bonded indebtedness. Examples of such a covenant may indeed be given, *e.g.*, General Public Service Corporation Convertible Debenture 5s, due 1953; American European Securities Company Collateral 5s, due 1958; and Affiliated Fund, Inc., Secured Convertible Debenture 4½s and 4s, due 1949, all of which require maintenance of a 125% ratio of asset value at market to funded debt. In the case of Affiliated Fund, the remedy provided is the immediate sale by the trustee of pledged collateral and the retirement of bonds until the required ratio is restored. In the other cases more elaborate machinery is invoked to declare the entire issue due and payable. We would suggest that provisions of this type—preferably those most simple of application—be a standard requirement for investment-trust bond issues.[7]

## SINKING FUNDS

In its modern form a sinking fund provides for the periodic retirement of a certain portion of a senior issue through payments made by the corporation. The sinking fund acquires the security by call, by means of sealed tenders, or by open-market purchases made by the trustee or the corporation. In the latter case the corporation turns in the bonds to the sinking fund in lieu of cash. The sinking fund usually operates once or

[7] Another type of remedy appeared in the indenture securing the Reynolds Investing Company 5s, which provided that if at any time the net value of the assets should fall below 110% of the bond issue, the latter should be due and payable on the next interest date. The same difficulty arose in applying this provision as in the case of the solvency question discussed above.

Note also the case of Alleghany Corporation Collateral Trust 5s, due 1949. The offering circular indicated that a coverage of 150% would be compulsory. Yet the indenture provided that failure to maintain this margin would not constitute an event of default but would result only in the prohibition of dividends and in the impounding by the trustee of the income from the pledged collateral.